

me, either, but when she started talking about astrology and the alignment of the planets, I tuned her out.

The stock really didn't cooperate at the start. It rounded over and retraced, but that was typical for a stair-step move higher. It didn't frighten her out of the stock. She had hoped that the continuation (or breakaway) gap shown a few days before G would provide support. And it did.

“Whew!” she told me. “I put a stop at 36.63, below the gap.” On the chart, I show at H the little nubbin under which she tucked her stop.

Once the retrace finished, the stock started moving higher again, leaving behind a pattern called an inverted and ascending scallop (the arc at H).

Price continued higher, forming another scallop at I, and then a third at J. She recalled reading in one of my books about scallops, how as they appear higher in the price chart, they tend to get shorter and narrower. When three stack up showing those traits (in the same uptrend), a trend change is more likely.

For grins, she computed the retrace of each scallop and found that the first one measured 38% (H), scallop I came in at 47%, and J was at 48%. In other words, price was retracing more each time the scallop appeared higher in the price chart. That was additional evidence that price was going to reverse.

Did it reverse? Not immediately. Price was a firework rising from L to K in a straight-line run-up. Then it began backtracking. Despite the run-up, she expected the stock to turn lower, based on the three-scallop pattern signaling an end of the upward run. Plus, Mars was in alignment with Las Vegas or something.

She set a retrace of 50% (of the L to K rise) as her exit price. She reasoned that if the stock really wanted to climb again, it would turn higher before retracing 50%.

She placed a sell order at 52.75 and that filled at M. On the trade, she bought at 39.82, sold at 52.75, and made almost \$13 a share or 32%. If she traded the busted butterfly perfectly, she would have bought at 39.51 (a penny above D), and sold at the high, 57.32 (K), for a gain of 45%.